

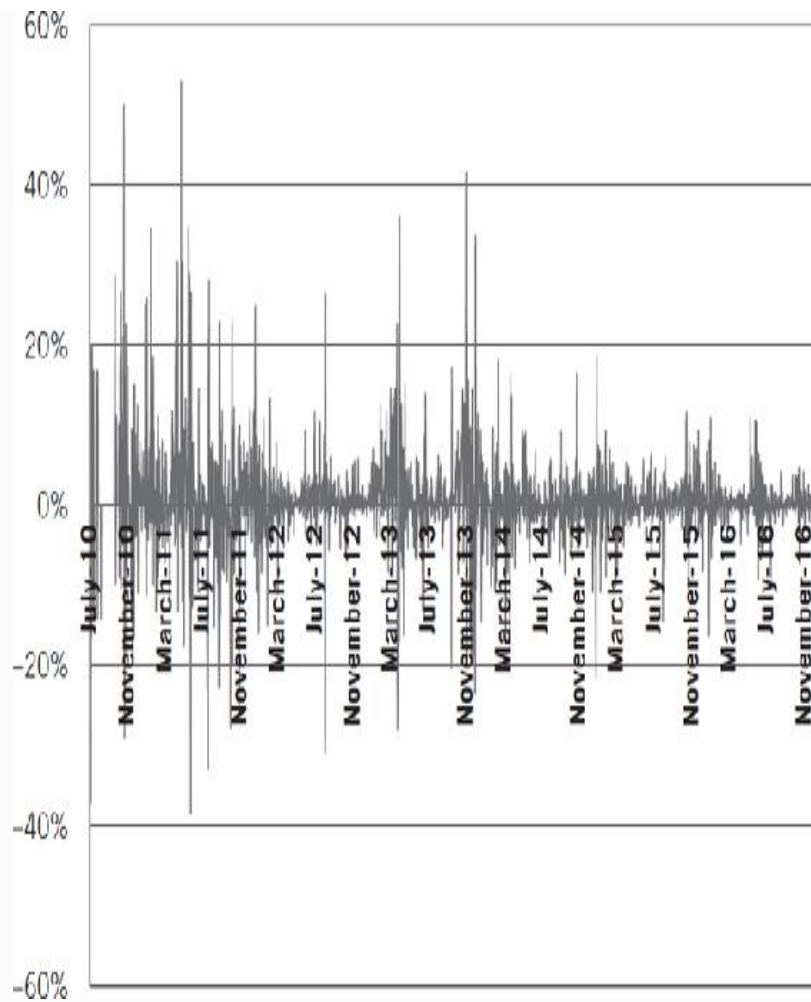


Figure 7.10 ■ Bitcoin's daily percent price changes since the start of Mt. Gox
Data sourced from CoinDesk

One of the easiest ways to visualize the volatility of an asset is to see how much its price changes day to day, or in other words, the daily percent price changes. The bigger the daily percent price changes are, the more volatile the asset is. Figure 7.10 illustrates the daily percent price changes of bitcoin from the time Mt. Gox opened to January 3, 2017.

The graph looks like what a seismometer would produce when measuring ground movements during earthquakes. Early in bitcoin's history there were frequent earthquakes, with the